

# Payment Integrity Scorecard

## Program or Activity

Centers for Medicare & Medicaid Services (CMS) - Medicare Advantage (Part C)

## Reporting Period

Q3 2025

## FY 2024 Overpayment Amount (\$M)\*

**\$17,204**

\*Estimate based a sampling time frame starting 1/2022 and ending 12/2022



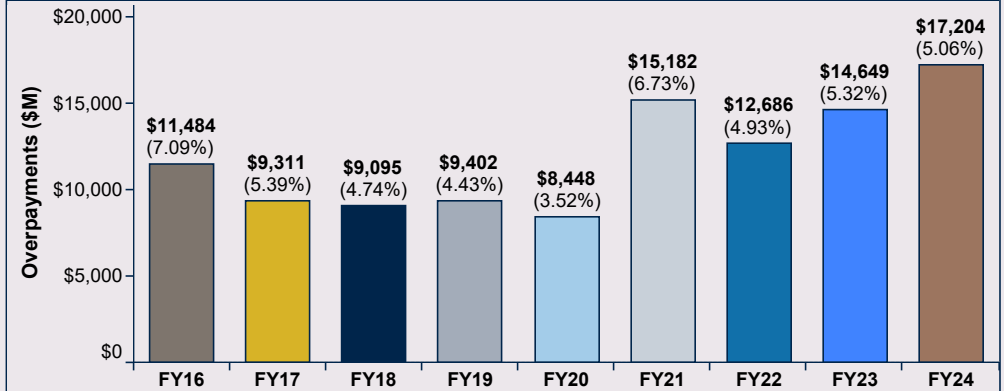
## Health and Human Services

Centers for Medicare & Medicaid Services (CMS) - Medicare Advantage (Part C)

### Brief Program Description & summary of overpayment causes and barriers to prevention:

Under the Medicare Advantage Program, also known as Medicare Part C, beneficiaries can opt to receive their Medicare benefits through a private health plan. Approximately half of all Medicare beneficiaries are enrolled in Medicare Advantage plans. The primary causes of overpayments are medical record discrepancies and insufficient documentation. Medicare Advantage Organizations are responsible for collecting and maintaining the documentation necessary to validate the data used in payment determinations. Medical records are not submitted to the agency at the time of making payment determinations.

### Historical Payment Rate and Amount (\$M) (Overpayment as Percentage of Total Outlays)



### Discussion of Actions Taken in the Preceding Quarter and Actions Planned in the Following Quarter to Prevent Overpayments

Last quarter, the Centers for Medicare & Medicaid Services (CMS) finalized preparations for the expanded payment year (PY) 2019 contract-specific Risk Adjustment Data Validation audits of Medicare Advantage Organizations and initiated PY 2019 Risk Adjustment Data Validation audits for 355 Medicare Advantage Organizations in June 2025. Additionally, CMS issued audit reports and began processing appeals of audit determinations for the PY 2012 and PY 2013 Risk Adjustment Data Validation audits.

### Accomplishments in Reducing Overpayment

### Date

| 1 | Began processing submitted appeals from Medicare Advantage Organizations related to issued payment year 2012 and 2013 Risk Adjustment Data Validation audit reports in May 2025.                                                                             | May-25 |
|---|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------|
| 2 | Issued Pharmacy and Prescriber Risk Reports in May 2025 and a Drug Trend Report in June 2025. The Risk Reports respectively identify pharmacies and prescribers that potentially pose a high risk of fraud, waste, and abuse to the Medicare Part D program. | May-25 |
| 3 | Initiated payment year 2019 Risk Adjusted Data Validation audits which is the first payment year included in the expansion and acceleration audit strategy for Risk Adjusted Data Validation.                                                                | Jul-25 |

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| Goals towards Reducing Overpayments |                                                                                                                                                           | Status   | ECD    | Recovery Method | Brief Description of Plans to Recover Overpayments | Brief Description of Actions Taken to Recover Overpayments                                                                                                                                             |
|-------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------|----------|--------|-----------------|----------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 1                                   | Initiate accelerated and expanded contract-specific Risk Adjustment Data Validation audits for payment years 2020 through 2024.                           | On-Track | Oct-25 | 1               | Recovery Activity                                  | Issue payment year 2012 and 2013 Risk Adjustment Data Validation audit reports to audited Medicare Advantage organizations in May 2025 and began processing related appeals between May and July 2025. |
| 2                                   | Send notice of intent to release audit reports to Medicare Advantage Organizations for payment year 2014 and 2015 Risk Adjustment Data Validation audits. | On-Track | Oct-25 |                 |                                                    |                                                                                                                                                                                                        |

| Amt(\$)   | Root Cause of Overpayment                                                                                     | Root Cause Description                                                                                                                                                                                                                                                          | Mitigation Strategy                                                                                                                                                                    | Brief Description of Mitigation Strategy and Anticipated Impact                                                                                                                                                                                           |
|-----------|---------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| \$17,204M | Overpayments outside the agency control that occurred because of a Failure to Access Data/Information Needed. | The primary causes of Medicare Advantage (Part C) overpayments are medical record discrepancies and insufficient documentation that does not prove that the beneficiaries have the diagnoses which were submitted by the Medicare Advantage Organization for increased payment. | Training – teaching a particular skill or type of behavior; refreshing on the proper processing methods.                                                                               | Provide expanded education on improper payment requirements, the medical review process, and detailed submission instructions to reduce administrative or process errors made by Medicare Advantage Organizations which lead to overpayments.             |
|           |                                                                                                               |                                                                                                                                                                                                                                                                                 | Change Process – altering or updating a process or policy to prevent or correct error.                                                                                                 | Improve policy and guidance to reduce administrative or process errors made by Medicare Advantage Organizations which lead to overpayments.                                                                                                               |
|           |                                                                                                               |                                                                                                                                                                                                                                                                                 | Audit - process for assuring an organization's objectives of operational effectiveness, efficiency, reliable financial reporting, and compliance with laws, regulations, and policies. | Conduct Risk Adjustment Data Validation Audits, which examine medical records to see if the diagnoses submitted for payment are accurate, to reduce administrative or process errors made by Medicare Advantage Organizations which lead to overpayments. |